

The Gazette of Pakistan

EXTRAORDINARY
PUBLISHED BY AUTHORITY

ISLAMABAD, SATURDAY, MAY 16, 2015

PART II

Statutory Notifications (S. R. O.)

GOVERNMENT OF PAKISTAN

MINISTRY OF WATER AND POWER

NOTIFICATION

Islamabad, the 8th May, 2015

S. R. O. 417 (I)/2015.—In pursuance of sub-section (4) of section 31 of the Regulation of Generation, Transmission and Distribution of Electric Power Act, 1997 (XL of 1997), the Federal Government is pleased to notify the following reference tariff of Chamber Sugar Mills Limited determined by National Electric Power Regulatory Authority for supply of 1.5MW power to Hyderabad Electric Supply Company Limited (HESCO) on take and pay basis, namely:—

Reference Tariff

Description	Rs. / kWh
Fuel Cost Component	6.29
Fixed Cost Component	1.53
Total Generation Cost of delivered unit	7.82

(1765)

Price: Rs. 3.00

The CIF coal price of US \$ 100.67/ton on which the bagasse price of Rs. 28,61/M.Ton has been calculated shall be considered as floor / minimum price for the purpose of the Fuel Cost Component. The Authority may review the fuel pricing mechanism stipulated below in accordance with NEPRA Rules and after consultation with the affected parties if it is deemed that there is exorbitant/unreasonable increase in international coal prices. The fuel cost component adjustment mechanism is given hereunder:

Fuel cost component of tariff will be adjusted on account of variation in price of fuel (bagasse) on yearly basis in advance (*w.e.f.* 1st of October of each applicable year) as per the formula given hereunder.

$$FCC (Rev) = FCC(Ref) \times BFP(Rev) / BFP(Ref)$$

Where;

$$FCC (Rev) = \text{Revised fuel cost component of tariff for the applicable year.}$$

$$FCC (Ref) = \text{Reference fuel cost component of tariff of Rs. 6.29/kWh.}$$

$$BFP (Rev) = \text{Revised price of bagasse in Rs./ton as determined in accordance with mechanism set out below.}$$

$$BFP (Ref) = \text{Reference price of bagasse for the relevant year. Current reference price is Rs. 2861.12/ton.}$$

$$BFP (Rev) = CPCIF_{(Rev)} \times 6905/23810$$

Where;

$$CPCIF (Rev) = \{CPFOB(Rev) + MF(Rev) + MI(Rev)\} \times ER (Rev)$$

Where;

$$CPCIF (Rev) = \text{Revised CIF price of coal in Rs./ton for the applicable year.}$$

$$CPFOB (Rev) = \text{Revised FOB price of coal expressed in US$/ton based on monthly average of prices published in the Argus McCloskey's API4 index for the relevant year.}$$

$$MF (Rev) = \text{Revised marine freight of coal per ton as worked out below.}$$

$$MF (Rev) = US \$ 19.19 \times BIX(Rev) / BIX(Ref)$$

Where;

BIX (Rev)	=	Revised monthly average of the daily Bunker Index price for 380-CST published by the Bunker Index for the relevant year.
BIX (Ref)	=	Reference monthly average of the daily Bunker Index price of 380-CST published by the Bunker Index. Current reference for the month of April 2013 is US\$ 641.8219/ton.
MI (Rev)	=	CPFOB(Rev) x 0.1%
ER (Rev)	=	Revised monthly average PKR/US\$ exchange rate for the relevant month.

4. The constants such as 6905, 23810 and US \$ 19.19 are fixed values representing LHV value of bagasse in btu/kg, LHV value of coal in btu/kg and fixed value of marine freight charges per ton of coal respectively.

[No. P-Tariff/CSM-2015.]

SYED MATEEN AHMED,
Section Officer (Tariff).

